

SENATE No. 3041

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

SENATE, April 2, 2026.

The committee on Senate Ways and Means to whom was referred the House Bill making appropriations for the fiscal year 2026 to provide for supplementing certain existing appropriations and for certain other activities and projects (House, No. 5280); reports, recommending that the same ought to pass with an amendment striking out all after the enacting clause and inserting in place thereof the text of Senate document numbered 3041. (Direct Appropriations: \$1,836,246,066.00)

For the committee,
Michael J. Rodrigues

SENATE No. 3041

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

SECTION 1. To provide for supplementing certain items in the general appropriation act and other appropriation acts for fiscal year 2026, the sums set forth in section 2 are hereby appropriated from the General Fund or the Transitional Escrow Fund established in section 16 of chapter 76 of the acts of 2021 unless specifically designated otherwise in this act or in those appropriation acts, for the several purposes and subject to the conditions specified in this act or in those appropriation acts and subject to the laws regulating the disbursement of public funds for the fiscal year ending June 30, 2026. These sums shall be in addition to any sums previously appropriated and made available for the purposes of those items. These sums shall be made available through the fiscal year ending June 30, 2027.

SECTION 2.

JUDICIARY

Board of Bar Examiners

0321-0100 Board of Bar Examiners.....\$211,857

Committee for Public Counsel Services

0321-1520 Indigent Persons Fees and Court Costs.....\$12,300,000

16 EXECUTIVE OFFICE FOR ADMINISTRATION AND FINANCE

17 Group Insurance Commission

18 1108-5200 Group Insurance Premium and Plan Costs..... \$300,000,000

19 OFFICE OF THE COMPTROLLER

20 1599-3384 Settlements and Judgments..... \$25,000,000

21 EXECUTIVE OFFICE OF HEALTH AND HUMAN SERVICES

22 Office of Refugees and Immigrants

23 4003-0124 Immigration Legal Assistance Fund..... \$1,000,000

24 Department of Transitional Assistance

25 4400-1100 DTA Caseworkers..... \$41,651,558

26 Department of Public Health

27 4513-1012 WIC Program Manufacturer Rebates Retained Revenue..... \$600,000

28 EXECUTIVE OFFICE OF PUBLIC SAFETY AND SECURITY

29 Department of Correction

30 8900-0001 Department of Correction Facility Operations..... \$31,009,996

31 EXECUTIVE OFFICE OF EDUCATION

32 Office of the Secretary

33 1596-2437 Early Literacy..... \$15,000,000

34 Education and Transportation Innovation and Capital Fund.....100%

35 Department of Elementary and Secondary Education

36 1596-2436 Mental Health Supports and Wraparounds.....\$2,500,000

37 Education and Transportation Innovation and Capital Fund.....100%

38 1596-2514 Adult Basic Education and Workforce Readiness..... \$5,000,000

39 Education and Transportation Innovation and Capital Fund.....100%

40 1596-2515 High Dosage Tutoring.....\$25,000,000

41 Education and Transportation Innovation and Capital Fund.....100%

42 7061-0012 Special Education Circuit Breaker.....\$32,000,000

43 Education and Transportation Innovation and Capital Fund.....100%

44 7061-9813 Rural School Aid.....\$4,000,000

45 Education and Transportation Innovation and Capital Fund.....100%

46 SECTION 2A. To provide for certain unanticipated obligations of the commonwealth, to

47 provide for an alteration of purpose for current appropriations and to meet certain requirements

48 of law, the sums set forth in this section are hereby appropriated from the Education and

49 Transportation Innovation and Capital Fund established in section 2DDDDDD of chapter 29 of

50 the General Laws or the Transitional Escrow Fund established in section 16 of chapter 76 of the

51 acts of 2021 unless specifically designated otherwise in this section, for the several purposes and

subject to the conditions specified in this section and subject to the laws regulating the
disbursement of public funds for the fiscal year ending June 30, 2026. Except as otherwise
provided, these sums shall be made available through the fiscal year ending June 30, 2029.

CANNABIS CONTROL COMMISSION

1070-0841 For a statewide public education and awareness program; provided, that
funds shall support evidence-based outreach including, but not limited to, youth prevention,
responsible consumption practices, cannabis-impaired driving prevention, high-potency product
awareness and safe transport to and from social consumption sites; and provided further, that the
cannabis control commission shall collaborate with the department of public health and the
department of elementary and secondary education in the development of such education and
awareness program \$1,000,000

General Fund.....100%

EXECUTIVE OFFICE FOR ADMINISTRATION AND FINANCE

Office of the Secretary

1596-7066 For a bridge funding reserve to support public institutions of higher
education in the commonwealth to enable them to: (i) adapt to federal funding uncertainty or for
the loss or diminishment of federal research funding; (ii) encourage advancement of scientific
research, enhance employment opportunities and talent development; and (iii) enable
participation in partnerships and joint ventures related to research and innovation; provided, that
the funds shall be administered by the executive office for administration and finance, in
consultation with the executive office of education, the executive office of labor and workforce

development and the executive office of economic development; provided further, that funds may be expended as flexible funding support for public institutions of higher education in the commonwealth to fund direct and indirect costs of research to retain talent and preserve the pace of scientific discovery in the commonwealth; provided further, that funds may be expended as a talent retention and extension reserve to fund positions in research and teaching, including graduate, post doctorate and other early career research professionals, that would otherwise be unfunded due to reductions in federal indirect rates and to build a bridge to future funding levels and sources; provided further, that funds may be expended for research opportunities, partnerships and joint ventures to support research activity, employment and advance innovation and opportunity in the commonwealth including, but not limited to, opportunities related to advanced manufacturing and technology, agricultural science and technology, bioengineering and life sciences, civil engineering and advanced construction materials, climate and environmental science, ecology, education and child development, electronics, energy, fisheries and wildlife science and management, forestry science and management, marine science and technology, medical science and technology, meteorology and atmospheric science, nursing science, public health and applied health sciences and robotics; provided further, that prior to the receipt of funds from this item, public institutions of higher education shall submit a federal funding disruption mitigation plan to the executive office for administration and finance and the house and senate committees on ways and means which shall include, but not be limited to, the planned needs and projected expenditures for each fiscal year in which funds are made available under this item; provided further, that funds from this item shall be expended in a manner that prioritizes a public institution of higher education's loss or diminishment of federal research funding that will impact prospective research opportunities and the pace of discovery; provided

106 further, that funds shall be further prioritized in a manner that provides bridge funding over
107 multiple fiscal years in which funds are made available under this item; provided further, that
108 funds shall be expended by public institutions of higher education in a manner that is consistent
109 with the institutions' federal funding mitigation plan unless otherwise authorized by the secretary
110 of administration and finance; and provided further, that the secretary of administration and
111 finance may transfer funds from this item to other items as necessary\$100,000,000

112 Education and Transportation Fund.....100%

113 Reserves

114 1599-0511 For a reserve to support the operations of the Health Care Affordability
115 Working Group; provided, that the secretary of administration and finance may transfer funds
116 from this item to other items of appropriation as necessary..... \$500,000

117 General Fund....100%

118 1599-6083 For the Home Energy Assistance Program to assist eligible low-income
119 elders, working families and other households with assistance paying a portion of winter heating
120 bills; provided, that the executive office of housing and livable communities shall establish the
121 maximum assistance for which a household shall be eligible; and provided further, that the
122 executive office may prioritize eligible households whose primary source of heat is a deliverable
123 fuel including, but not limited to, oil, propane and kerosene \$20,000,000

124 General Fund....100%

125 1599-8910 For a reserve to support costs associated with the 14 county sheriffs'
126 offices; provided, that the secretary of administration and finance may transfer funds from this

117 item to state agencies as defined in section 1 of chapter 29 of the General Laws for costs
118 associated with staffing related to the care and custody of inmates as determined by the
119 secretary; and provided further, that not later than June 1, 2026, each sheriff's office receiving
120 funds from this item shall file a report with the executive office for administration and finance
121 and to the house and senate committees on ways and means detailing: (i) the reasons for any
122 spending over what was appropriated to their office in fiscal year 2025; (ii) actions taken to
123 mitigate those deficiencies in fiscal year 2025; (iii) the reasons for any currently projected
124 deficiencies in fiscal year 2026; (iv) actions taken to mitigate those deficiencies in fiscal year
125 2026; and (v) a plan for fiscal year 2027 expenditures that shall not exceed estimated spending in
126 fiscal year 2026, delineated by which of those costs are mandated by law and the legal precedent
127 for each such mandate..... \$54,472,655

128 General Fund....100%

129 EXECUTIVE OFFICE OF HEALTH AND HUMAN SERVICES

130 Department of Public Health

131 1595-2026 For a transfer to the Affirming Health Care Trust Fund established in
132 section 2K of chapter 111 of the General Laws..... \$3,500,000

133 General Fund....100%

134 EXECUTIVE OFFICE OF EDUCATION

135 Office of the Secretary

136 1596-2517 For local one-time education projects..... \$100,000

Department of Elementary and Secondary Education

1596-0111 For a grant program to be administered by the department of elementary and secondary education to support cell phone-free public schools; provided, that funds shall be expended for schools and districts to purchase equipment and provide training to teachers and staff to enforce a prohibition of student use of a personal electronic device on school grounds during the school day and during school-sponsored activities during the school day; provided further, that, for the purpose of this item, "personal electronic device" shall mean a portable electronic device that is: (i) capable of providing voice communication, text messaging or other data communication between 2 or more parties or devices; or (ii) capable of connecting to a smartphone or other personal electronic device, the internet or a cellular or Wi-Fi network; and provided further, that "personal electronic device" shall not include school-issued or sanctioned devices that are used for a legitimate educational purpose\$1,000,000

1596-2604 For a reserve to support reimbursements to school districts and direct payments to service providers for special education instructional and transportation costs pursuant to section 5A of chapter 71B of the General Laws and item 7061-0012 of section 2 of the general appropriations act; provided, that reimbursements shall be made in the fiscal year ending on June 30, 2027 for costs incurred in the fiscal year ending on June 30, 2026; and provided further, that funds may be transferred from this item to said item 7061-0012 and expended subject to the conditions specified in said item 7061-0012 in the general appropriations act for the fiscal year ending on June 30, 2027..... \$200,000,000

1596-2624 For a grant program to support the long-term fiscal health of school districts through shared services and regionalization; provided, that grants shall be awarded to

159 school districts for the following purposes: (i) study, planning and implementation of school
160 district regionalization; (ii) study, planning and implementation of shared services among school
161 districts; and (iii) technical assistance regarding the repurposing of existing school facilities that
162 are no longer needed as a result of regionalization; provided further, that such grants shall
163 prioritize: (a) school districts with significant enrollment decline as defined by the department of
164 elementary and secondary education; (b) school districts where existing school space is
165 underutilized; and (c) school districts where the regionalization or shared services proposal will
166 produce significant expansion of available academic resources and supports as a result of cost
167 savings or economies of scale; provided further, that funds distributed from this item shall not be
168 considered chapter 70 aid for the calculation of the minimum required local contribution for the
169 upcoming fiscal year; provided further, that annually, not later than November 30, any district
170 receiving funds under this item shall submit a report to the department of elementary and
171 secondary education outlining progress the district has made in studying, planning or
172 implementing regionalization or shared services; and provided further, that annually, not later
173 than December 31, the department shall submit a report to the senate and house committees on
174 ways and means and the joint committee on education detailing the calculation and planned
175 distribution of funds to school districts under this item.....\$25,000,000

176 1596-9813 For rural school aid to eligible towns and regional school districts,
177 excluding vocational schools, independent agricultural, technical schools and charter schools for
178 the fiscal year ending June 30, 2027; provided, that a school district shall be eligible for rural
179 school aid if a school district has a student density of not more than 35 students per square mile
180 and an average annual per capita income of not more than the average annual per capita income
181 for the commonwealth for the same period; and provided further, that rural school aid shall be

182 allocated equitably in the following order of priority: (i) school districts serving less than 11
183 students per square mile; (ii) school districts serving not more than 21 students per square mile;
184 and (iii) school districts serving not more than 35 students per square mile.....\$4,000,000

185 Department of Higher Education

186 1596-2603 For a reserve to provide financial assistance to Massachusetts students
187 enrolled in and pursuing a program of higher education at a public institution of higher education
188 in the commonwealth; provided, that funds may be transferred between this item and items 7070-
189 0065, 1596-2414 and 1596-2700 of section 2 of the general appropriations act at the direction of
190 the secretary of education.....\$18,300,000

191 University of Massachusetts

192 1596-2622 For a pilot scholarship program to provide financial assistance to medical
193 students at the University of Massachusetts medical school to improve the recruitment and
194 expand the workforce of family medicine physicians in the commonwealth; provided, that to be
195 eligible for financial assistance under this item, a student shall, at minimum: (i) be enrolled at the
196 University of Massachusetts medical school in pursuit of a doctor of medicine degree; (ii)
197 commit to pursuing a specialty in family medicine upon completion and graduation from the
198 medical school; and (iii) commit to practicing family medicine, after the completion of all intern
199 and residency requirements, as a licensed physician in accordance with chapter 112 of the
200 General Laws for a period of not less than 5 years at: (a) a community health center defined as an
201 entity receiving funding pursuant to 42 U.S.C. 254b; or (b) a provider organization defined under
202 section 1 of chapter 6D of the General Laws which is clinically affiliated with a hospital health
203 system that has a public payer mix greater than 63 per cent as calculated by the center for health

204 information and analysis using hospital fiscal year 2024 data; provided further, that after
205 calculating an eligible student's financial aid, awards to eligible students under this item shall be
206 at an amount equal to the remaining total of tuition and fees; provided further, that such awards
207 shall not preclude eligible students under this item from receiving any other financial assistance;
208 provided further, that the University of Massachusetts medical school may prioritize residents of
209 the commonwealth when awarding financial assistance under this item; provided further, that
210 participants in the scholarship program shall remain in good academic standing; provided
211 further, that the medical school may adopt additional guidelines governing eligibility for and the
212 awarding of financial assistance under this item; provided further, that if students awarded
213 financial assistance under this item fail to comply with the criteria for eligibility, all financial
214 assistance shall be repaid over a time period to be determined by the medical school; provided
215 further, that the University of Massachusetts medical school shall submit an annual report to the
216 joint committee on public health, the joint committee on health care financing and the house and
217 senate committee on ways and means detailing: (1) the total number of students awarded
218 financial assistance under this item, delineated by academic year and the state residency of the
219 recipient; (2) the total amount of financial assistance awarded under this item, delineated by
220 academic year and the state residency of the recipient; and (3) a summary assessment of the
221 effect of the pilot scholarship program in improving access to family medicine services and
222 increasing the number of family medicine physicians in the commonwealth; and provided
223 further, that funds in this item shall be made available until June 30,
224 2033.....\$10,000,000

225 TRANSPORTATION

226 Massachusetts Department of Transportation

227 1596-2404 For programs to improve the Massachusetts Bay Transportation
228 Authority's commuter rail infrastructure; provided, that the authority shall consult with the
229 executive office for administration and finance on the projects to be funded by this item;
230 provided further, that in distributing funds from this item, the authority shall prioritize projects
231 that advance a rail system that is fully integrated into the commonwealth's transportation system
232 and designed to make the system more productive, equitable and decarbonized; provided further,
233 that funds shall be expended to facilitate the electrification of commuter rails; provided further,
234 that not less than \$1,000,000 shall be expended for the development of a regional rail master plan
235 to review and outline the process of rail electrification of the entire commuter rail network;
236 provided further, that the master plan shall include, but not be limited to: (i) a description of the
237 end state of regional rail; (ii) an idealized operating plan; (iii) a ridership and revenue study; and
238 (iv) an examination of opportunities for productivity gains; and provided further, that not later
239 than April 1, 2027, the authority shall submit a report to the joint committee on transportation
240 and the house and senate committees on ways and means that shall include, but not be limited to:
241 (a) the criteria used for distributing funds from this item; and (b) a list and description of the
242 projects funded or planned to be funded through this item, including the estimated cost for each
243 project and the expected timeline for the completion of each project\$60,000,000

244 1596-2405 For a reserve to implement a low-income reduced fare program under the
245 Massachusetts Bay Transportation Authority for riders of all modes with low-incomes; provided,
246 that funds from this item may be expended on uses which may include, but shall not be limited
247 to: (i) replacement of foregone fare revenues; (ii) operating and administrative costs relating to
248 the program; (iii) data and technology improvements, systems integration and support; and (iv)
249 community engagement; and provided further, that not later than December 30, 2026, the

250 authority shall submit a report detailing the expenditures from this item including rider
251 enrollment in the low-income reduced fare program as of October 31, 2026, to the Massachusetts
252 Department of Transportation, the joint committee on transportation and the house and senate
253 committees on ways and means.....\$20,000,000

254 1596-2505 For an operating transfer to the Massachusetts Transportation Trust Fund
255 established in section 4 of chapter 6C of the General Laws for a program to support grants for
256 workforce and training initiatives at regional transit authorities and support transit improvements
257 across the commonwealth; provided, that the Massachusetts Department of Transportation shall
258 oversee the distribution of grants under this item; and provided further, that not later than
259 September 1, 2026, the department shall submit a report to the joint committee on transportation
260 and the house and senate committees on ways and means that shall include, but shall not be
261 limited to: (i) the grant criteria used to determine awards; (ii) a list of grant recipients, including
262 the amounts received by each recipient; and (iii) a description of the specific uses by each
263 recipient..... \$45,000,000

264 1596-2506 For an operating transfer to the Massachusetts Transportation Trust Fund
265 established in section 4 of chapter 6C of the General Laws for a pilot program to provide grants
266 to municipalities for repair, maintenance and improvements to unpaved roads; provided, that the
267 Massachusetts Department of Transportation shall oversee the distribution of grants under this
268 item; provided further, that grant funds shall only be available to municipalities for repair,
269 maintenance and improvements to dirt or gravel roads that are open to the public and maintained
270 by the municipality; provided further, that grant funds shall be used by municipalities for: (i)
271 reconstruction, surface grading, crown and shoulder restoration and removal of wash boarding
272 and potholes; (ii) guardrail and signage repair or replacement; (iii) drainage work, including

273 swales; and (iv) the purchase or lease of maintenance equipment including, but not limited to,
 274 graders, rollers and loaders; and provided further, that municipalities shall not use grant funds
 275 for: (a) construction of new roadways; (b) conversion of unpaved roads to paved roads; (c)
 276 landscaping or removing vegetation not related to an eligible use project; (d) culverts; (e)
 277 retaining walls; or (f) police details..... \$7,000,000

278 1596-2507 For one-time transportation projects\$100,000

279 1596-2520 For an operating transfer to the Massachusetts Transportation Trust Fund
 280 established in section 4 of chapter 6C of the General Laws for a program to support grants for
 281 capital infrastructure improvements and equipment and facilities upgrades at regional transit
 282 authorities to support transit improvements across the commonwealth; provided, that projects
 283 approved under this item shall include, but not be limited to: (i) the purchase of new buses,
 284 including electric or hybrid buses; (ii) upgrades to electrical infrastructure to facilitate charging
 285 of electric buses; (iii) capital projects to support microtransit initiatives and last mile
 286 transportation solutions; and (iv) improvements to bus stops and stations to promote pedestrian
 287 safety, user comfort and Americans with Disabilities Act compliance; provided further, that the
 288 Massachusetts Department of Transportation shall oversee the distribution of funds; and
 289 provided further, that not later than March 1, 2027, the department shall submit a report to the
 290 joint committee on transportation and the house and senate committees on ways and means that
 291 shall include, but shall not be limited to: (i) the grant criteria used to determine awards; (ii) a list
 292 of grant recipients, including the amounts received by each recipient; and (iii) a description of
 293 the specific uses by each recipient.....\$50,000,000

294 1596-2521 For an operating transfer to the Massachusetts Transportation Trust Fund
295 established in section 4 of chapter 6C of the General Laws for a program to support
296 improvements to water transportation infrastructure across the
297 commonwealth.....\$10,000,000

298 1596-2526 For an operating transfer to the Massachusetts Transportation Trust Fund
299 established in section 4 of chapter 6C of the General Laws for a program to support grants for
300 capital microtransit initiatives and last mile transportation solutions including, but not limited to,
301 providers that: (i) expand mobility options for rural communities; (ii) extend service to veterans,
302 working families, older adults, people with disabilities and low-income individuals; (iii) provide
303 mobility choices to people with mobility needs; and (iv) extend equitable and affordable
304 transportation mobility improvements in the commonwealth; and provided further, that
305 preference for grants shall be awarded to cities and towns that are taking meaningful steps to
306 produce new housing and have adopted best practices to promote sustainable housing
307 development including, but not limited to, the multifamily zoning requirement established in
308 section 3A of chapter 40A of the General Laws.....\$15,000,000

309 1596-2612 For an operating transfer to the Massachusetts Bay Transportation
310 Authority to replenish the Massachusetts Bay Transportation Authority deficiency fund;
311 provided, that the authority shall notify the Massachusetts Department of Transportation, the
312 executive office for administration and finance, the joint committee on transportation and the
313 house and senate committees on ways and means not less than 30 days in advance of any
314 withdrawal from the Massachusetts Bay Transportation Authority deficiency fund; provided
315 further, that not later than June 30, 2026, the authority shall submit a written deficiency fund
316 policy to the Massachusetts Department of Transportation, the executive office for

317 administration and finance, the joint committee on transportation and the house and senate
318 committees on ways and means; provided further, that funds shall be expended for commuter rail
319 service; provided further, that not less than \$15,000,000 shall be expended for a reduced fare or
320 parking pilot program to promote increased ridership on commuter rail service; provided further,
321 that the pilot program shall begin not earlier than September 8, 2026; provided further, that not
322 later than 30 days prior to the start of the pilot program, the authority shall submit a plan to the
323 joint committee on transportation and the house and senate committees on ways and detailing the
324 implementation of the pilot program and strategies to encourage mode shift by reducing the cost
325 of commuter rail travel; and provided further, that funds may be expended for rider affordability
326 initiatives and pilots that encourage ridership, improving value for riders and passholders and
327 support and encourage participation in the income-eligible reduced fare
328 program.....\$445,000,000

329 1596-2626 For an operating transfer to the Massachusetts Transportation Trust Fund
330 established in section 4 of chapter 6C of the General Laws for payments to municipalities to
331 provide financial relief for extraordinary snow, ice and winter recovery costs incurred during the
332 winter of 2026; provided, that funds may be expended for costs associated with: (i) snow
333 clearing and plowing; (ii) roadway preparation and salting; (iii) icebreaking; (iv) flooding; (v)
334 the reconstruction and resurfacing of roadways; (vi) the repair of damage from downed trees; and
335 (vii) any unanticipated costs attributed to winter weather preparation or recovery; provided
336 further, that not less than \$80,000,000 shall be distributed using a formula based on each
337 municipality's share of road mileage; provided further, that not less than \$20,000,000 shall be
338 made available as additional relief to municipalities, at the discretion of the secretary of
339 Massachusetts Department of Transportation, that have experienced extraordinary costs due to

340 extreme weather impacts relative to other geographic areas of the commonwealth during the
341 winter of 2026; provided further, that funds may be used for costs previously incurred by the
342 municipality prior to the distribution of funds in this item; and provided further, that not less than
343 \$1,000,000 shall be expended for a municipal grant program to assist cities and towns in
344 purchasing safety devices required under section 7 of chapter 90 of the General Laws for
345 municipally owned or leased motor vehicles, semi-trailers or semi-trailer units, as defined in
346 section 1 of said chapter 90.....\$101,000,000

347 SECTION 3. Section 5B of chapter 15A of the General Laws, as appearing in the 2024
348 Official Edition, is hereby amended by striking out, in lines 8 to 15, inclusive, the words “if the
349 individual is not a citizen or legal permanent resident of the United States, the application for
350 financial assistance shall be submitted with an affidavit signed under the pains and penalties of
351 perjury stating that the individual has applied for citizenship or legal permanent residence or will
352 apply for citizenship or legal permanent residence in accordance with federal law within 120
353 days of eligibility for such status” and inserting in place thereof the following words:-
354 individuals seeking to participate in the program pursuant to the fifth paragraph of section 9 shall
355 submit documentation consistent with the requirements of said fifth paragraph of said section 9.

356 SECTION 4. The last paragraph of section 9 of said chapter 15A, as so appearing, is
357 hereby amended by striking out the last sentence and inserting in place thereof the following
358 sentence:- Any information obtained in the implementation of this paragraph shall not be a
359 public record and shall be protected from disclosure under subclause (c) of clause Twenty-sixth
360 of section 7 of chapter 4, section 10 of chapter 66, chapter 66A, chapter 93H and any other
361 applicable privacy laws.

SECTION 5. Section 2 of chapter 22D of the General Laws, as so appearing, is hereby amended by inserting after the word “teams”, in line 11, the following words:- , including the joint hazard incident response team, which shall be composed of hazardous materials technicians designated by the state fire marshal and members of the department of state police bomb squad designated by the colonel of state police.

SECTION 6. Section 1 of chapter 62 of the General Laws, as so appearing, is hereby amended by inserting after the word “408(q)”, in line 10, the following words:- ; provided, however, that for purposes of section 1400Z-1 of the Code, “qualified opportunity zone” shall mean an area located entirely within the commonwealth that is designated as a qualified opportunity zone under section 1400Z-2; and provided further, that “Code” shall not include reference to any individual amendments to the Code pursuant to section 90 of chapter 62C.

SECTION 7. Paragraph (1) of subsection (d) of section 2 of said chapter 62, as so appearing, is hereby amended by adding the following subparagraph:-

(R) The deduction allowed under 26 U.S.C. § 174A,.

SECTION 8. Section 6 of said chapter 62, as so appearing, is hereby amended by adding the following subsection:-

(jj)(1) As used in this subsection, the following words shall have the following meanings unless the context clearly requires otherwise:

“Farm business”, a trade or business located in the commonwealth that is not a business corporation subject to the excise under chapter 63 and that is engaged in the business of farming as defined in section 1A of chapter 128.

“Nonprofit food distribution organization”, an entity located in the commonwealth that is exempt from taxation under section 501(c)(3) of the Code, as amended or renumbered, and organized with a purpose of providing food donations or selling food at a charge sufficient only to cover the cost of handling such food.

(2) A farm business that donates food, meals or crops grown, manufactured, packaged or prepared by the farm business to a nonprofit food distribution organization shall be allowed a refundable credit against the liability imposed by this chapter for the taxable year of the donation; provided, however, that the credit shall be equal to the fair market value of the food, meals or crops donated by the farm business during the taxable year; provided further, that the credit shall not exceed an aggregate credit of \$5,000 annually; and provided further, that the farm business shall not have claimed a federal or state tax deduction for the same food, meals or crops donated by the farm business during the same taxable year.

(3) If the amount of the credit allowed under this subsection exceeds the taxpayer’s liability, the commissioner shall treat the excess as an overpayment and shall pay the taxpayer 100 per cent of the amount of such excess, without interest. No credit provided for under this subsection shall be transferable or shall carry over into a subsequent tax year.

(4) A credit shall be allowed under this subsection only if the donated food, meals or crops are distributed or served by the nonprofit food distribution organization without charge or at a charge sufficient only to cover the cost of handling such food, meals or crops and are not: (i) used by the nonprofit food distribution organization as consideration for services performed or personal property purchased; or (ii) sold by the nonprofit food distribution organization at a charge in excess of the organization’s cost of handling the food, meals or crops.

(5) To claim any credit under this subsection, the farm business shall attach to the farm business's income tax return, for each donation, a written certification that identifies the nonprofit food distribution organization, the date of the donation, the amount of food, meals or crops donated and the fair market value of the food, meals or crops donated.

(6) The commissioner of revenue shall, in consultation with the commissioner of agricultural resources, promulgate regulations necessary for the implementation, administration and enforcement of this subsection and section 38VV of chapter 63. The commissioner of revenue shall, in consultation with the commissioner of agricultural resources, develop and publish a standard form that eligible claimants under this subsection shall use to report the information required for donations under paragraph (5).

SECTION 9. Subsection (jj) of said section 6 of said chapter 62 is hereby repealed.

SECTION 10. Chapter 62C of the General Laws is hereby amended by adding the following section:-

Section 90. (a) For the purposes of this section, the definition of "Code" in section 1 shall not apply.

(b) Except as provided in subsection (c), any individual amendment to the Internal Revenue Code that would otherwise apply pursuant to chapters 62 or 63, that would affect the determination of Massachusetts gross income, Massachusetts deductions pursuant to said chapter 62, gross income pursuant to paragraph 3 of section 30 of said chapter 63 or net income pursuant to paragraph 4 of said section 30 of said chapter 63 shall not apply to:

425 (i) any taxable year that begins in the calendar year in which the amendment is enacted;

426 or

427 (ii) any taxable year that precedes the calendar year in which the amendment is enacted.

428 (c) Subsection (b) shall not apply to any individual amendment to the Internal Revenue
429 Code if the commissioner determines within 90 days after such amendment is enacted that the
430 impact to tax revenue collected pursuant to chapters 62 or 63 is estimated to be less than
431 \$20,000,000 adjusted for inflation as provided by subsection (f) of section 1 of the Code, as
432 amended and in effect for the taxable year, for:

433 (i) the fiscal year that begins in the calendar year in which the amendment is enacted; or

434 (ii) any fiscal year that precedes the calendar year in which the amendment is enacted.

435 (d) Not later than 90 days after any individual amendment to the Internal Revenue Code,
436 the commissioner shall submit to the house and senate committees on ways and means and post
437 on its website the estimated impact to tax revenue collected pursuant to chapters 62 and 63 of
438 such individual amendment.

439 SECTION 11. Section 30 of chapter 63 of the General Laws, as appearing in the 2024
440 Official Edition, is hereby amended by striking out paragraph 3 and inserting in place thereof the
441 following paragraph:-

442 3. "Gross income", gross income as defined in the federal Internal Revenue Code, as
443 amended and in effect for the taxable year, plus the interest from bonds, notes and evidences of
444 indebtedness of the commonwealth or any other state; provided, however, that: (i) in addition to
445 the foregoing, gross income of corporations taxable under section 38B shall include a deduction

446 for losses from the sale or exchange of capital assets sustained during the taxable year to the
447 extent allowable by the Code; (ii) for purposes of applying section 1400Z-2 of the Code,
448 “qualified opportunity zone” shall mean an area located entirely within the commonwealth that is
449 designated as a qualified opportunity zone under said section 1400Z-2; and (iii) any individual
450 Code amendments as referenced in section 90 of chapter 62C shall have no force or effect.

451 SECTION 12. Said section 30 of said chapter 63, as so appearing, is hereby further
452 amended by inserting after the word “allowed”, in lines 32 and 33, the following words:- ; and
453 provided further, that any individual amendments to the Code as referenced in section 90 of
454 chapter 62C shall have no force or effect.

455 SECTION 13. Said section 30 of said chapter 63, as so appearing, is hereby further
456 amended by striking out, in lines 81 to 83, inclusive, the words “and (viii) the deductions
457 allowed by sections 245A, 250 and 965(c) of the Code” and inserting in place thereof the
458 following words:-

459 (viii) the deductions allowed by sections 245A, 250 and 965(c) of the Code; and
460 (ix) the deductions allowed by section 70302(f) of Pub. L. 119-21;

461 SECTION 14. Said chapter 63 is hereby further amended by inserting after section 38UU
462 the following section:-

463 Section 38VV. (a) As used in this section, the following words shall have the following
464 meanings unless the context clearly requires otherwise:

465 “Farm business”, a business corporation located in the commonwealth that is engaged in
466 the business of farming as defined in section 1A of chapter 128.

“Nonprofit food distribution organization”, an entity located in the commonwealth that is exempt from taxation under section 501(c)(3) of the Code, as amended or renumbered, and organized with a purpose of providing food donations or selling food at a charge sufficient only to cover the cost of handling such food.

(b) A farm business that donates food, meals or crops grown, manufactured, packaged or prepared by the farm business to a nonprofit food distribution organization shall be allowed a refundable credit against the liability imposed by this chapter for the taxable year of the donation. The credit shall be equal to the fair market value of the food, meals or crops donated by the farm business during the taxable year but not to exceed an aggregate credit of \$5,000 annually; provided, however, that the farm business shall not have claimed a federal or state tax deduction for the same food, meals or crops donated by said farm business during the same taxable year.

(c) If the amount of the credit allowed under this section exceeds the taxpayer’s liability, the commissioner of revenue shall treat such excess as an overpayment and shall pay the taxpayer 100 per cent of the amount of such excess, without interest. No credit provided for under this section shall be transferable or shall carry over into a subsequent tax year.

(d) A credit shall be allowed under this section only if the donated food, meals or crops are distributed or served by the nonprofit food distribution organization without charge or at a charge sufficient only to cover the cost of handling such food, meals or crops and are not: (i) used by the nonprofit food distribution organization as consideration for services performed or personal property purchased; or (ii) sold by the nonprofit food distribution organization at a charge in excess of the organization’s cost of handling the food, meals or crops.

(e) To claim a credit under this section, the farm business shall attach to the farm business's income tax return, for each donation, a written certification that identifies the nonprofit food distribution organization, the date of the donation, the amount of food, meals or crops donated and the fair market value of the food, meals or crops donated.

(f) The commissioner of revenue, in consultation with the commissioner of agricultural resources, shall promulgate regulations necessary for the implementation, administration and enforcement of this section and subsection (jj) of section 6 of chapter 62. The commissioner of revenue, in consultation with the commissioner of agricultural resources, shall develop and publish a standard form that eligible claimants under this section shall use to report the information required for donations under subsection (e).

SECTION 15. Section 38VV of said chapter 63 is hereby repealed.

SECTION 16. The General Laws are hereby further amended by inserting after chapter 63D the following chapter:-

Chapter 63E

TAXATION OF PASS-THROUGH ENTITIES ON INCOME EXCEEDING SURTAX
THRESHOLD

Section 1. As used in this chapter, the following words shall have the following meanings unless the context clearly requires otherwise:

“Code”, as defined in section 1 of chapter 62.

“Commissioner”, the commissioner of revenue.

“Eligible pass-through entity”, an S corporation under section 1361 of the Code, a partnership under section 7701 of the Code or a limited liability company that is treated as an S corporation or partnership under said section 1361 of the Code or said section 7701 of the Code.

“Qualified income taxable in Massachusetts”, the income of an eligible pass-through entity determined under chapter 62 allocable to a qualified member and included in the qualified member’s Massachusetts taxable income under said chapter 62; provided, however, that “qualified income taxable in Massachusetts” shall be limited to the sum of the amounts by which the amount allocated to each qualified member exceeds the surtax threshold pursuant to subsection (d) of section 4 of chapter 62 .

“Qualified member”, a shareholder of an S corporation or a partner in a partnership, including a member of a limited liability company that is treated as an S corporation or partnership under section 1361 of or section 7701 of the Code that is a natural person or trust or estate subject to tax under section 10 of chapter 62; provided, however, that a qualified member may be a resident, nonresident or a part-year resident; and provided further, that “qualified member” shall not include such shareholder, partner or member whose allocable share of income included in their Massachusetts taxable income under said chapter 62 does not exceed the surtax threshold.

Section 2. An eligible pass-through entity may elect to pay an excise on its qualified income taxable in the commonwealth at a rate of 4 per cent. A qualified member of an electing eligible pass-through entity shall be allowed a refundable credit against the tax imposed under chapter 62. The credit shall be available to qualified members in an amount proportionate to each qualified member’s share of the tax due and paid under this chapter by the eligible pass-through

entity multiplied by 0.9. The credit shall be available for the member's taxable year in which the electing eligible pass-through entity's taxable year ends.

Section 3. Nothing in this chapter shall apply to any taxable year for which the federal limitation on the state and local tax deduction imposed by section 164(b)(6) of the Code, as amended and in effect for the applicable year, has expired or is otherwise not in effect.

Section 4. The excise under this chapter shall be in addition to, and not in lieu of, any other tax required to be paid by the commonwealth, including taxes imposed by chapter 62 or chapter 63. The excise under this chapter shall be due and payable on the eligible pass-through entity's original, timely filed return. A return that reports the excise shall be due at the same time as a partnership information return or corporate excise return would be due for the entity under chapter 62C. Nothing in this chapter shall alter any filing requirements for a qualified member under said chapter 62C.

Section 5. The collection and administration of the excise under this chapter shall be governed by chapter 62C unless expressly provided otherwise in this chapter or in regulations promulgated by the commissioner pursuant to this chapter.

Section 6. The election under this chapter shall be made by the eligible pass-through entity on an annual basis in a manner determined by the commissioner. All members of the electing eligible pass-through entity shall be bound by the election. Once an election is made for a particular year, the election shall not be revoked.

Section 7. The commissioner shall promulgate regulations or guidance to administer this chapter. The regulations or guidance may: (i) make the credit available to qualified members with income from eligible pass-through entities that in turn have income from other eligible pass-

through entities; (ii) provide rules on the application of this chapter to eligible trusts and estates; and (iii) require estimated payments of the excise by electing eligible pass-through entities and their qualified members in a manner consistent with chapter 62B.

SECTION 17. Section 6 of chapter 64H of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by adding the following subsection:-

(aaa) (1) For the purposes of this subsection, the following words shall have the following meanings unless the context clearly requires otherwise:

“Developer”, a person, partnership, company, corporation or other entity, or any subcontractor thereof, that engages in construction of an approved affordable multifamily housing project.

“Multifamily housing projects”, a multifamily housing project approved by the executive office of housing and livable communities that: (i) is located in a census tract where the median household income is below 120 per cent of the average household income; or (ii) includes not less than 15 per cent affordable units as determined by the executive office.

(2) Sales of materials, tools and fuel, as those terms are defined for the purposes of subsection (r), purchased for a developer, to the extent authorized by the executive office of housing and livable communities, which are consumed and used directly and exclusively in the construction of approved multifamily housing projects that support housing for low, moderate and middle income residents.

(3) In any fiscal year, the executive office of housing and livable communities shall not approve a multifamily housing project for the exemption allowed under this subsection if the

574 total estimated exemption amount for all outstanding approved multifamily housing projects
575 would likely exceed \$35,000,000 for the fiscal year. The executive office shall consult with the
576 department prior to approving a multifamily housing project to determine if the project is likely
577 to result in the cap being exceeded.

578 (4) After the executive office of housing and livable communities approves a multifamily
579 housing project, the developer shall obtain a certificate from the executive office of housing and
580 livable communities stating that it is entitled to the exemption under this subsection. A vendor,
581 upon being presented with the certificate, shall keep a record of the sales price of each separate
582 sale and the number of such certificate. Such records shall be made available to the executive
583 office not later than 60 days after notice from the executive office to produce such records. The
584 developer shall also keep receipts and records of all purchases for which the developer claims the
585 exemption. Such receipts and records shall be submitted to, and in a manner determined by, the
586 executive office. The burden of proving that such developer qualifies for the exemption shall be
587 upon the vendor unless the vendor takes in good faith from the developer the certificate and such
588 certificate is received and made available to the commissioner not later than 60 days from the
589 date of the notice from the commissioner to produce such certificate.

590 (5) If construction does not commence within 2 years of the project's approval, the
591 executive office of housing and livable communities shall revoke the certificate and notify the
592 department.

593 (6) The executive office of housing and livable communities may revoke a project's
594 approval if it determines: (i) that the developer has used the certificate to claim an exemption for
595 any tangible personal property other than materials, tools or fuel purchased for the construction

596 of the approved multifamily housing project; or (B) the project no longer qualifies as a
597 multifamily housing project. Upon such revocation, the executive office shall notify the
598 department. As of the effective date of any revocation under this paragraph or paragraph (5), the
599 commissioner shall disallow any exemptions allowed by the original certificate under this
600 subsection.

601 (7) Upon completion of the approved affordable multifamily housing project, the
602 executive office of housing and livable communities shall notify the department and the
603 department shall revoke the certificate.

604 (8) The executive office of housing and livable communities and the department shall
605 issue regulations or guidance for the administration of this subsection. Said regulations or
606 guidance shall provide criteria for the approval of multifamily housing projects and the executive
607 office shall prioritize projects that best address the Commonwealth's goals of increasing housing
608 production for low, moderate and middle income residents.

609 (9) Annually, the executive office of housing and livable communities shall report and
610 make available on its website projects approved under this subsection. The report shall include
611 an analysis of the impact of the subsection, the approved projects and the progress on the
612 construction thereof, the geographic distribution of approved projects and any other
613 recommendations of the executive office.

614 SECTION 18. Section 2F of chapter 90 of the General Laws, as so appearing, is hereby
615 amended by striking out, in line 4, the figure "\$100,000" and inserting in place thereof the
616 following figure:- \$50,000.

SECTION 19. Subsection (e) of section 16 of chapter 115 of the General Laws, as so appearing, is hereby amended by adding the following sentence:- If the secretary approves the application, such approval shall be the only proof required to show the veteran's character of discharge for any state program or service.

SECTION 20. Section 33 of chapter 148 of the General Laws, as so appearing, is hereby amended by adding the following paragraph:-

The marshal may provide support to law enforcement agencies through the use of the joint hazard incident response team established within the division of hazardous materials in the department of fire services pursuant to section 2 of chapter 22D, for technical or operational assistance for incidents or events involving potential reactive or energetic materials that may pose a risk to public health or safety. Any response action taken by a municipal firefighter as a member of the joint hazard incident response team at the direction of the marshal or the marshal's designee shall be deemed to have been taken on behalf of the department of fire services for the benefit of the commonwealth. Municipal firefighters who are members of the joint hazard incident response team shall not be considered law enforcement officers and shall not exercise police powers.

SECTION 21. Section 6 of chapter 175M, as so appearing, is hereby amended by striking out, in lines 22, 33 and 39, the figure "40" and inserting in place thereof, in each instance, the following figure:- 100.

SECTION 22. Said section 6 of said chapter 175M, as so appearing, is hereby further amended by striking out, in lines 25, 33 and 43, the figure "100" and inserting in place thereof, in each instance, the following figure:- 40.

SECTION 23. Item 2000-0103 of section 2A of chapter 102 of the acts of 2021 is hereby amended by inserting after the word “aqueducts” the following words: “and funding shall be made available until December 31, 2029”.

SECTION 24. Item 4513-1012 of section 2 of chapter 9 of the acts of 2025 is hereby amended by striking out the figure “\$28,600,000”, each time it appears, and inserting in place thereof, in each instance, the following figure:- \$29,200,000.

SECTION 25. Notwithstanding paragraph (1) of subsection (d) of section 2 of chapter 62 of the General Laws and paragraph 4 of section 30 of chapter 63 of the General Laws, the deduction allowed under section 174A of the Internal Revenue Code, as amended and in effect for the 2026 tax year, shall be disallowed for taxable years beginning in 2025; provided, that for taxable years beginning on or after January 1, 2022 and before January 1, 2026, any research or experimental expenditures paid or incurred for said taxable years shall be deducted as permitted under section 174 of the Internal Revenue Code as in effect on July 3, 2025.

SECTION 26. Notwithstanding paragraph (1) of subsection (d) of section 2 of chapter 62 of the General Laws and paragraph 4 of section 30 of chapter 63 of the General Laws, the following deductions shall be disallowed for taxable years beginning in 2025 and 2026: (i) the deduction allowed under section 168(n) of the Internal Revenue Code, as amended and in effect for the 2026 tax year; (ii) the deduction allowed under section 179 of the Internal Revenue Code to the extent it is increased by amendments to sections 179(b)(1) and 179(b)(2) of the Internal Revenue Code inserted by section 70306 of Pub. L. 119-21; and (iii) the deduction allowed under section 163(j) of the Internal Revenue Code to the extent that the definition of “adjusted

660 taxable income” is modified by an amendment to section 163(j)(8)(A)(v) of the Internal Revenue
661 Code inserted by section 70303 of Pub. L. 119-21.

662 SECTION 27. Notwithstanding paragraph 3 of section 30 of chapter 63 of the General
663 Laws, a taxpayer shall, for taxable years beginning in 2025 and 2026, apply section 1400Z-2 of
664 the Internal Revenue Code as in effect for taxable years beginning prior to January 1, 2026.

665 SECTION 28. Notwithstanding any general or special law to the contrary, in fiscal year
666 2026, the comptroller shall transfer \$150,000,000 from the Education and Transportation
667 Innovation and Capital Fund established in section 2DDDDDD of chapter 29 of the General
668 Laws to the High-Quality Early Education & Care Affordability Fund established in section
669 2YYYYYY of said chapter 29.

670 SECTION 29. Notwithstanding chapters 62B, 62C and 63B of the General Laws, interest
671 and penalties shall not be imposed on an underpayment or late payment of tax for taxable years
672 beginning in 2025 where a taxpayer filed a return with the commissioner of revenue for such
673 taxable years prior to enactment of this act that did not accord with sections 7, 13 and 25, and the
674 taxpayer files a subsequent return with the commissioner of revenue to adjust the previous return
675 to accord with said sections 7, 13 and 25 within 90 days of enactment of this act.

676 SECTION 30. A project shall not be approved by the executive office of housing and
677 livable communities pursuant to subsection (aaa) of section 6 of chapter 64H of the General
678 Laws on or after January 1, 2032; provided, however, that any certificate issued pursuant to
679 subsection (aaa) of section 6 of chapter 64H of the General Laws shall remain in effect until the
680 project is completed or the executive office has revoked the project’s approval pursuant to
681 paragraph (5) or (6) of said subsection (aaa) of said section 6 of said chapter 64H.

SECTION 31. Salary adjustments and other economic benefits authorized by the following collective bargaining agreements shall be effective for the purposes of section 7 of chapter 150E of the General Laws:

(1) the agreement between the Commonwealth of Massachusetts and the Massachusetts Nurses Association (MNA), Unit 7;

(2) the agreement between the Barnstable County Sheriff's Office (BCSO) and the Barnstable County Correctional Officers Union (BCCOU), S1B;

(3) the agreement between the Commonwealth of Massachusetts and the International Association of Fire Fighters (IAFF), Local S-28 and S-29, Unit 11;

(4) the agreement between the University of Massachusetts and the New England Police Benevolent Association (NEPBA) Local 190, Amherst Campus, Unit A07;

(5) the agreement between the Commonwealth of Massachusetts and the Coalition of Public Safety, Unit 5;

(6) the agreement between University of Massachusetts and the American Federation of Teachers (AFT) Maintainers Local 6350, Dartmouth Campus, Unit D83;

(7) the agreement between the University of Massachusetts and the Professional Staff Union (PSU) Unit A, Amherst Campus, Unit A52 & Boston Campus, Unit B42;

(8) the agreement between the University of Massachusetts and the American Federation of Teachers Educational Services Unit (ESU) Professional Local 1895, Dartmouth Campus, Unit D85;

702 (9) the agreement between the University of Massachusetts and the American Federation
703 of Teachers Faculty Federation Local 1895, Dartmouth Campus, Unit D80 & Unit D81; and

704 (10) the agreement between the Board of Higher Education and the Massachusetts State
705 College Association/MTA/NEA.

706 SECTION 32. Sections 6, 10 through 12, inclusive, and 16, 21 and 22 shall apply for
707 taxable years beginning on or after January 1, 2026.

708 SECTION 33. Section 7 and 13 shall apply for taxable years beginning on or after
709 January 1, 2022.

710 SECTION 34. Sections 8 and 14 shall be effective for tax years ending on or after
711 December 31, 2026.

712 SECTION 35. Section 17 shall take effect on January 1, 2027.

713 SECTION 36. Sections 9 and 15 shall take effect on January 1, 2029.